

H2 2026 Corporate Risk Management Strategy

Navigating Funding, FX and Tariff Uncertainty

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Core framework: Macro outlook -> Key risks -> Tariff deep dive -> Hedge recommendations

Macro Outlook

US Economy - high for longer remains the base case

Suggested chart 1: SOFR / Fed funds implied path

Show the policy path before vs after 7 Aug NFP. Highlight that weak payrolls reduced near-term hike pricing, but the curve still embeds restrictive policy.

Fed Path: Hold / high-for-longer remains our base case

Inflation: June headline PCE eased to 3.7% y/y and core PCE to 3.3%, but both remain above the Fed's 2% target. Tariff, energy and AI-related demand risks keep the inflation distribution skewed upward.

Growth: The 7 Aug payroll report was materially softer (-23k jobs; prior two months revised down by 103k). That weakens the case for another hike, but the unemployment rate fell to 4.1% and one print is not enough to establish recession.

Policy: The Fed held 3.50-3.75% on 29 July and continues to describe policy as restrictive. Our base case is therefore 'higher for longer, not higher still': no immediate hike, but no rush to ease without clearer disinflation.

Suggested chart 2: 2s10s and 2s30s

Time series YTD. Mark Iran/Middle East energy shock, July FOMC and 7 Aug NFP. Message: flattening was front-end led; front-end relief creates room to re-steepen.

USD Curve: Scope for H2 re-steepening

- Weakening labor data should remove part of the front-end hawkish premium, allowing 2Y yields to retrace some of the 2026 sell-off.
- The long end should remain relatively sticky because term premium is structurally higher: persistent fiscal uncertainty, inflation tail risk and large duration supply keep investors demanding compensation for holding 10Y/30Y risk.
- We therefore expect a modest 2s10s / 2s30s re-steepening driven primarily by front-end relief rather than a large long-end rally.

Base case: restrictive policy persists, but the bar for another hike is now materially higher after the July payroll miss.

Macro Outlook

USD Funding Condition - orderly onshore, asymmetric offshore risk

Suggested chart 1: SOFR-EFFR / repo stress gauge

Use SOFR-EFFR, SRF usage or repo specialness to show that domestic USD funding remains orderly and the Fed is maintaining ample reserves.

Current funding conditions remain broadly stable

- The Fed is explicitly maintaining an ample-reserves regime, and domestic overnight funding markets show no sustained signs of acute repo-market stress.
- The July Fed hold and weaker payroll data reduce the probability of an immediate policy-driven squeeze in domestic USD funding.
- However, stable onshore conditions do not fully insulate offshore borrowers from global risk-off episodes.

Suggested chart 2: EURUSD 5Y CCS basis + MOVE

Plot EURUSD 5Y cross-currency basis (inverted if useful) against MOVE. Mark Ukraine, regional bank stress and Middle East shocks. Use this as co-movement, not a causal claim.

Cross-currency basis is the key offshore transmission channel

- For non-US borrowers, a risk-off shock can raise demand for dollar liquidity and widen cross-currency basis even when SOFR itself remains orderly.
- Middle East / Ukraine escalation, sharp rates volatility or balance-sheet constraints can make synthetic USD funding more expensive on an episodic basis.
- H2 base case is stable funding, but the distribution is asymmetric: calm markets improve gradually, while stress can widen basis quickly.

Funding message: no current USD funding crisis - but offshore dollar funding remains vulnerable to sudden risk-off and basis widening.

Macro Outlook

Asia divergence - China and India face different policy and FX constraints

China: growth + inflation

Plot Q2 GDP growth and core CPI / CPI. Q2 GDP slowed to 4.3% y/y; June CPI and core CPI were both around 1% y/y.

India: INR sensitivity to oil / inflation

Plot USDINR against Brent or India's oil import bill / inflation. Highlight external-balance and imported-inflation sensitivity.

FX risk: CNY vs INR

Compare 1Y realized/implied volatility or forward premium. Objective: show India is the more shock-sensitive FX exposure.

China - policy-supported, low-inflation backdrop

- Q2 real GDP growth slowed to 4.3% y/y, while June headline CPI was 1.0% and CPI excluding food and energy was also 1.0%.
- Low inflation and softer domestic momentum preserve room for liquidity support, while large-scale benchmark-rate easing is not our base case.
- For the corporate, China exposure is therefore more about a policy-managed FX path and the EUR translation of CNY revenues than outright local duration.

India - higher-for-longer, more shock-sensitive

- RBI kept the repo rate at 5.25% in August. June CPI rose to 4.38%, and July inflation is expected to remain above the 4% medium-term target.
- Growth is resilient, but food and energy shocks constrain the RBI's room to ease aggressively.
- INR remains more exposed to oil, imported inflation and external funding conditions, making the currency the more asymmetric revenue risk.

Corporate implication - do not treat Asia as one risk bucket

- China and India revenue streams are exposed to different macro drivers and policy reaction functions.
- CNY can remain relatively policy-managed even in a softer growth environment; INR is more sensitive to oil, external balance and global risk sentiment.
- The hedge framework should therefore differentiate CNY and INR rather than apply one uniform Asia hedge ratio.

Asia divergence is a risk-management issue: CNY and INR exposures should be sized and hedged differently because their macro shock absorbers are different.

Key H2 Macro Risks

#3 Main Risks

1. Growth / Inflation Mix

- The core policy uncertainty is no longer simply 'hike or cut' - it is whether weaker labor demand can coexist with still-elevated inflation.
- Downside growth surprise: faster front-end rally, weaker USD and earlier easing expectations.
- Upside inflation surprise: renewed hike risk, flatter curve and higher funding costs.
- Why it matters: this is the main driver of the USD rates path and therefore the benchmark for global funding conditions.

2. Geopolitics / Global Risk-Off

- Middle East and Ukraine tensions can transmit through oil, shipping, insurance costs and global risk sentiment.
- A sustained energy shock would raise inflation while simultaneously hurting real growth - a difficult mix for central banks.
- Risk-off can strengthen demand for USD liquidity and widen offshore cross-currency basis even if domestic US funding remains stable.
- Why it matters: it directly affects the client's USD funding cost and disproportionately pressures INR via imported energy.

3. FX Volatility / Capital Flows

- Policy divergence, growth surprises and geopolitical shocks can create abrupt re-pricing in CNY and INR.
- CNY is more policy-managed; INR is more sensitive to oil, external balance and global dollar conditions.
- Portfolio flows alone are not the core thesis - the key issue is the interaction of macro fundamentals, hedging demand and risk sentiment.
- Why it matters: EUR-reported revenue can become more volatile even if local sales volumes are stable.

These are not independent risks: an energy or trade shock can worsen inflation, trigger risk-off, tighten USD liquidity and amplify Asian FX volatility at the same time.

Risk Transmission

How macro shocks pass through to the corporate

Channel 1 - Rates & Funding

- Growth / inflation repricing changes the USD front end and the cost of floating-rate debt.
- Risk-off can widen EURUSD cross-currency basis, raising the cost of obtaining dollars synthetically.
- Corporate impact: interest expense, refinancing risk and the value of maintaining access to both EUR and USD funding markets.

Channel 2 - FX Translation

- CNY and INR revenues translate back into EUR at different rates and with different vol profiles.
- A stronger EUR / weaker local currency reduces reported EUR revenue even when local operating performance is unchanged.
- Corporate impact: earnings volatility, budget-rate misses and uncertainty around cash repatriation.

Channel 3 - Operating Cash Flow

- Energy, shipping and trade restrictions alter input costs, lead times and supplier behavior.
- Companies respond through inventory buffers, supplier rerouting, payment-term changes and contract renegotiation.
- Corporate impact: higher COGS, more working capital tied up in inventory / receivables and less predictable free cash flow.

The corporate does not need to hedge every macro headline - it needs to hedge the financial transmission channels: funding, FX translation and operating cash flow.

Tariffs

Direct impact across the US / China / India footprint

US - Pricing Power vs Demand

- Higher tariffs raise the landed cost of imported inputs and finished goods, directly lifting COGS for US-facing operations.
- The key corporate question is pass-through: strong pricing power protects margin but can reduce volumes; weak pricing power compresses margin instead.
- Tariff uncertainty can pull imports forward ahead of implementation dates, creating temporary inventory and logistics spikes.
- Watch: product-level exemptions, rules of origin and whether tariffs are broad-based or targeted at strategic sectors.

China - Export Pressure & Rerouting

- US trade restrictions can weaken direct China-to-US economics, encouraging rerouting, localization or supplier relocation.
- Export pressure may weigh on Chinese producer margins and domestic activity, while policy support can partly offset the growth drag.
- For a EUR-reporting corporate, the financial exposure is not only tariff cost: it is also the CNY translation impact if policy easing or weaker trade flows pressure the currency.
- China's industrial model remains a key source of trade friction, so policy uncertainty is likely to persist.

India - Diversion Opportunity, Not a Free Hedge

- Supply-chain diversification can redirect some production and sourcing toward India, supporting investment and local activity.
- But India is not tariff-insulated: the US-India framework still embeds an 18% reciprocal tariff on a range of originating goods, with sector-specific exemptions and negotiations.
- Higher oil / shipping costs can offset part of the diversification benefit by raising imported input costs and inflation.
- Result: India can gain from rerouting while INR remains vulnerable to external shocks.

Tariffs change relative economics across the footprint: the first-order effect is COGS and pricing; the second-order effect is where the firm produces, sources and holds working capital.

Tariffs

Second-order effects: the balance-sheet and cash-flow consequences

1. Supplier Rerouting

- Shift sourcing toward lower-tariff jurisdictions or local production.
- Benefit: lower tariff incidence and geographic diversification.
- Cost: supplier qualification, duplicated capacity and execution risk.

2. Inventory & Working Capital

- Front-load imports ahead of tariff deadlines and maintain larger safety stocks.
- Higher inventories tie up cash and increase storage / obsolescence risk.
- Longer routes increase days inventory outstanding and cash conversion cycle.

3. Payment Terms & Contracts

- Suppliers may demand shorter payment terms or FX / tariff pass-through clauses.
- Customers may resist price increases, forcing renegotiation of indexed pricing.
- The result is more volatile receivables, payables and margin realization.

4. FX / Funding Feedback

- Rerouting changes the currency mix of costs and revenues.
- More working capital raises short-term funding needs.
- Risk-off can simultaneously weaken Asian FX and widen USD basis.
- Hedge policy must therefore be dynamic, not a one-off FX trade.

Tariffs can turn a trade-policy shock into a treasury problem: higher working capital, new currency mismatches and more volatile funding needs.

Our Recommendation

Funding Strategy - EURUSD CCS

Why use EUR as the funding starting point?

- A European issuer typically has deeper natural access to EUR investors and an established EUR credit curve.
- We do NOT claim synthetic USD is always cheaper after basis. The case is diversification, access and certainty - not a mechanical arbitrage.
- Funding conditions are currently orderly, which is a better backdrop to secure flexibility than waiting for a risk-off episode.
- Use the firm's actual EUR and USD credit spreads to compare all-in cost before execution.

Structure - EUR floating -> USD floating

- Issue EUR floating-rate debt (or otherwise fund in EUR).
- Enter a EURUSD cross-currency swap: receive the EUR floating leg matching the debt and pay USD SOFR plus the agreed basis / spread.
- Exchange principal at inception and maturity so the corporate obtains USD cash while removing EURUSD FX risk on the funding leg.
- This preserves floating-rate exposure in USD - consistent with our high-for-longer / no-further-hike view and avoids unnecessarily locking USD fixed rates.

Risk Management & Execution

- Primary benefit: lock the cross-currency conversion terms before basis potentially widens in a global risk-off episode.
- Key risk: if EUR direct funding plus basis is materially more expensive than issuing USD directly, use USD issuance instead - this must be an all-in-cost decision.
- Execution: stagger maturities and avoid concentrating all refinancing at one date.
- Dealer risk: use standard, liquid EURUSD CCS tenors so the bank can hedge cleanly.

Recommendation: preserve EUR market access and convert to USD via a liquid float/float CCS when the all-in cost is competitive - locking funding flexibility, not speculating on basis.

Our Recommendation

Lock CNY & INR revenue exposure with differentiated hedge ratios

China Revenue - Long EURCNY 1Y NDF (partial hedge)

- Exposure: the company receives CNY revenues but reports in EUR, so a weaker CNY / stronger EUR reduces translated revenue.
- View: we are not outright bearish CNY. We think current 1Y forward levels already price a meaningful amount of CNY strength / EURCNY decline versus spot.
- Action: use the current 1Y EURCNY NDF level to lock a portion of expected CNY receipts rather than leaving the full exposure open.
- Why partial: CNY can still appreciate on policy support or a weaker USD, so retain some upside while protecting the budget rate.

India Revenue - Long EURINR 1Y NDF (higher hedge ratio)

- Exposure: INR revenues translate into fewer EUR if INR depreciates.
- View: INR remains structurally more vulnerable to oil, imported inflation, external funding and global risk-off than CNY.
- Action: increase the hedge ratio on INR receipts using 1Y EURINR NDFs; stagger execution to reduce entry-timing risk.
- Rationale: our expectation is for INR depreciation to exceed what is currently embedded in forwards, so the hedge also protects against a plausible macro downside.

Portfolio Logic - three exposures, three tools

- Funding: EURUSD CCS manages refinancing, basis and funding-currency risk.
- China revenue: partial EURCNY NDF locks a favorable budget rate without fully giving up potential CNY appreciation.
- India revenue: higher EURINR hedge ratio protects against the more asymmetric depreciation tail.
- Governance: refresh hedge ratios as tariffs, oil, Fed pricing and local cash-flow forecasts evolve; the objective is cash-flow certainty, not directional P&L.

Final message: use different hedge intensity for different risks - funding flexibility through CCS, selective CNY locking, and stronger INR protection.